A PRACTICAL GUIDE

Financial *Planning*

Simple money concepts for every Malaysian — practical, honest strategies you can start using today.

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ASSALAMUALAIKUM & HELLO

Money worries shouldn't keep you awake at night. *Let's fix that.*

I wrote this little book for the Malaysian who works hard, loves their family, and still feels like the ringgit disappears faster than it arrives. The one who quietly wonders, "Am I doing this right? Is it too late for me?"

Here is the truth no one tells you: financial planning is not about being rich. It is about being *ready* — ready for the car that breaks down, the parents who grow older, the children who will one day need university fees, and the version of you who deserves to retire with dignity.

You don't need a finance degree. You don't need to earn RM20,000 a month. You need a handful of simple concepts, applied consistently, in a way that honours both your wallet and your values. Every strategy in this book is honest and gimmick-free — no fine print, no "skim cepat kaya" — and for every instrument mentioned, a Shariah-compliant alternative exists if that matters to you.

Read it with a cup of teh tarik. Scribble on it. Then — and this is the important part — **act on one thing this week.** Knowledge only becomes wealth when it is practised.

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WHAT'S INSIDE

Eight ideas that change *everything.*

01

CHAPTER ONE

Start with *niat.*

Every great financial plan begins the same way every great deed begins — with intention. Not a vague wish to "be more stable," but a clear picture of what you are building, for whom, and by when. In this chapter, we turn angan-angan into a plan.

"A goal without a number and a date is just a daydream with good lighting."

YOU'LL LEARN

The three questions that turn any dream into a target

YOU'LL BUILD

Your personal goal map — short, medium and long term

TIME NEEDED

One quiet evening, a pen, and total honesty

THREE QUESTIONS

Berapa? Bila? *Bagaimana?*

Ask anyone what they want and you'll hear: a house, the kids' education, haji with my parents, retire without burdening anyone. Beautiful goals — but unbuildable until you answer three questions: **How much? By when? How will I get there?**

"I want to buy a house" becomes: *"I need RM30,000 for a deposit on a RM300,000 home in Seremban, in 4 years. That's RM625 a month."* Suddenly it is not a dream. It is a standing instruction.

HORIZON	TYPICAL MALAYSIAN GOALS	WHERE THE MONEY SHOULD SIT
Short under 3 years	Emergency fund, balik kampung & raya, travel, umrah, wedding	**Savings & fixed deposits — boring is good here**
Medium 3–10 years	House deposit, car replacement, starting a business	**Low-to-moderate risk: bond or sukuk funds, balanced unit trusts**
Long 10+ years	Children's education, haji, retirement	**Growth assets: equity funds, EPF, gold**

RM625
a month for 4 years = a RM30,000 house deposit. Big goals are just small numbers repeated.

3
goals maximum to start with. More than that and your money — and motivation — spreads too thin.

SOFINA'S TIP

Write your top three goals where you will see them — your phone wallpaper, the fridge, your work desk. *A goal you see daily gets funded. A goal in a drawer gets forgotten.*

02

CHAPTER TWO

The leaks in *your bucket.*

Most Malaysians don't have an income problem. They have a leakage problem. Money flows in on gaji day and seeps out through five quiet holes — so quiet you barely notice until the month outlives the money. Let's find your leaks.

"It's never the RM50,000 decisions that sink us. It's the RM15 ones, repeated daily, for ten years."

YOU'LL LEARN

The five most common money mistakes in Malaysia

YOU'LL SEE

What your daily spending habit really costs over 20 years

YOU'LL FIX

At least one leak before you sleep tonight

FIVE COMMON LEAKS

Which of these is *yours?*

1

No emergency fund

Many Malaysian households would struggle to raise even RM1,000 in a crisis. Without a buffer, every surprise becomes debt — one gearbox away from a personal loan.

2

Lifestyle inflation

Gaji naik RM500, lifestyle naik RM700. The raise that was supposed to free you quietly upgrades your phone, your car, your cafe habit — and your stress.

3

Too much car

The classic Malaysian trap. A simple guideline: keep your monthly car instalment under 15% of take-home pay. The bank approving you doesn't mean you can afford it.

4

Minimum-payment living

Credit cards and buy-now-pay-later make everything feel affordable. Paying the minimum on RM5,000 can take more than a decade to clear. Affordable today, expensive forever.

5

Waiting to invest "until I earn more"

The most expensive mistake of all — because the cost is invisible. Every year you wait, compounding works for someone else. Chapter 4 will show you exactly what waiting costs.

The teh tarik *arithmetic.*

This isn't about banning small joys. It's about choosing them consciously. Spend RM15 a day less on autopilot eating-out — cook twice a week, bring lunch sometimes — and redirect that RM450 a month into a diversified investment averaging 6% a year:

RM74k
after 10 years

RM208k
after 20 years

RM452k
after 30 years

Illustration: RM450/month at 6% p.a., compounded monthly. Returns are not guaranteed — but the habit is entirely in your hands.

CHAPTER THREE

03

Master your *cash flow.*

Budgeting has a branding problem. It sounds like punishment — spreadsheets, guilt, no more nasi lemak. In reality, a budget is simply you telling your money where to go, instead of wondering where it went. One rule, three buckets, ten minutes a month.

"Pay yourself first. Not what's left after the month is done — because the month is never done."

YOU'LL LEARN
The 50·30·20 rule, adapted for Malaysian life

YOU'LL BUILD
A gaji-day routine that runs on autopilot

YOU'LL START
Your emergency fund — your financial seatbelt

THE 50 · 30 · 20 RULE

Three buckets, *zero guilt.*

50% Needs

Rent or home financing, groceries, transport, utilities, parents' allowance — the non-negotiables.

30% Wants

Makan-makan, travel, Netflix, that cafe. Guilt-free — because it's planned.

20% Future You

Savings, investments, extra debt payments. This bucket gets paid **first**, on gaji day.

Example: RM4,000 take-home

BUCKET	AMOUNT	WHERE IT GOES
Needs	RM2,000	Rent RM1,100 · food RM500 · transport RM250 · utilities RM150
Wants	RM1,200	Eating out, family treats, subscriptions, small joys
Future You	RM800	RM400 emergency fund · RM400 investments — auto-transferred the day after gaji

THE SEATBELT RULE

Before investing a single ringgit, build an emergency fund of *3–6 months of expenses* in a savings account you can reach in a day. It is not for raya. It is not for sales. It is your family's seatbelt.

CHAPTER FOUR

The quiet miracle of *compounding.*

04

There is a force in finance so patient and so powerful that it turns kopitiam money into a retirement fund — yet most people never feel it working, because its magic lives in the years they haven't reached yet. Meet compounding: profit earning profit, earning profit.

"The best time to start was ten years ago. The second-best time is before this chapter ends."

YOU'LL MEET

Aina and Farid — same salary, same fund, RM271,000 apart

YOU'LL LEARN

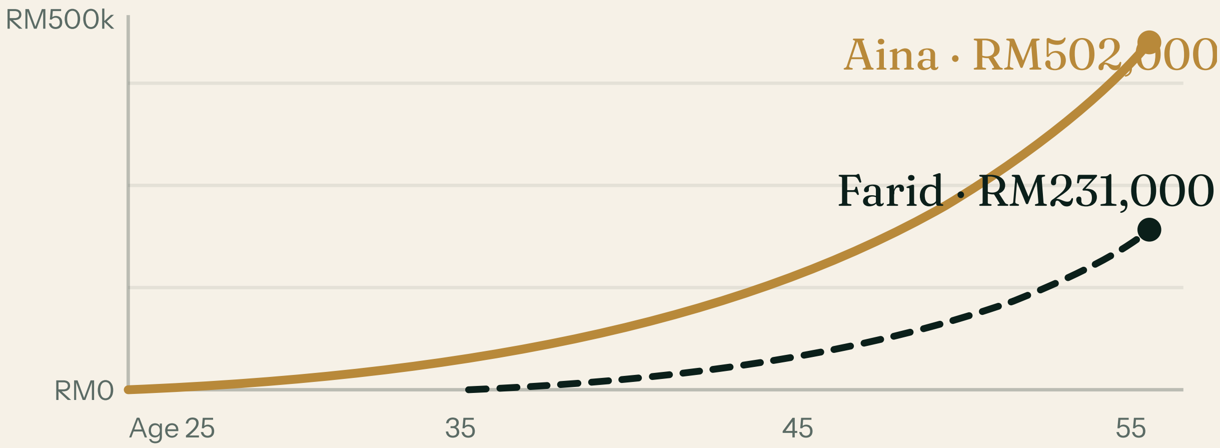
Why time matters more than timing — or talent

YOU'LL CHECK

Whether your EPF is on track for the basic savings target

A TALE OF TWO SAVERS

Aina starts at 25. Farid waits until 35. *Same RM500 a month.*



RM500/month into the same diversified fund averaging 6% p.a. Farid's ten-year delay costs him RM271,000 — far more than the RM60,000 he "saved" by not contributing.

RM82k
RM500/month after 10 years

RM231k
after 20 years — the curve bends

RM502k
after 30 years — the curve takes off

Notice the shape: the first decade looks boring. The last decade does the heavy lifting. This is why **time in the market beats timing the market** — and why the biggest investing risk for most Malaysians isn't losing money. It's starting late.

And if you prefer to invest Shariah-compliant, compounding works exactly the same way — profit from screened funds is your share of real business returns, and every instrument in this book has a halal equivalent.

EPF REALITY CHECK

EPF's guideline for basic savings is around *RM240,000 by age 55* — and many members fall short. Log in to your KWSP i-Akaun this week and see where you stand. If there's a gap, chapters 5 and your action plan will help you close it.

CHAPTER FIVE

Invest the *smart way.*

05

You do not need to be wealthy to start investing — you need to start investing to build wealth. Malaysia has one of the most accessible investment landscapes anywhere: regulated, diverse, and open from a few hundred ringgit a month. The problem isn't options. It's knowing where to start.

"Never invest in something you cannot explain to your mother over dinner."

YOU'LL LEARN
How risk and time horizon decide where your money belongs

YOU'LL TOUR
Six trusted instruments, from beginner to confident

YOU'LL SPOT
A "skim cepat kaya" from a kilometre away

YOUR INVESTING TOOLBOX

Six places your money can *grow.*

EPF

Your foundation. Consistent long-term dividends, plus voluntary top-ups — especially powerful for gig workers via i-Saraan. Prefer Shariah-compliant? Opt in to Simpanan Shariah.

Unit trusts & ETFs

Professionally managed funds — equity, bond or mixed. Own a slice of hundreds of businesses with a few hundred ringgit a month. Shariah-screened versions exist for every fund type.

Fixed deposits & bond funds

The steady end of the ladder: lower returns, lower drama. Perfect for medium-term goals where you cannot afford a bad year. Islamic FDs and sukuk funds are the equivalents.

ASB & ASNB funds

Widely held and historically steady, with low entry amounts. For Muslim investors: several state fatwa councils have ruled them permissible (harus) — check your state's ruling.

Gold

A time-tested store of value with deep cultural roots here. Buy physical or via reputable bank gold accounts — and treat it as protection, not a lottery ticket.

Purpose-built savings

Some goals have their own vehicles: SSPN for children's education (with tax relief), PRS for retirement, and Tabung Haji for haji — register early; that queue is measured in decades.

The scam *smell test.*

Malaysians lose hundreds of millions of ringgit to investment scams every year — and the victims are often educated professionals. Three red flags, no exceptions:

- [ ] **"Guaranteed" high returns.** Anyone promising fixed 10% a month is not investing your money. They are recruiting your replacement.
- [ ] **Pressure to act now.** Real investments will still exist next week. Scams expire when you start thinking.
- [ ] **Not licensed.** Thirty seconds on the Securities Commission's public lists tells you if an operator is licensed — or already on the investor alert list.

SOFINA'S TIP

Start simple: one diversified fund — conventional or Shariah-compliant, your choice — one fixed amount, every single month, rain or shine. *Consistency is a strategy. Excitement is a warning sign.*

CHAPTER SIX

Make debt *serve you.*

06

Debt is a tool — and like any tool, it depends on the hand that holds it. A home financing that shelters your family is not the same as a personal loan for a wedding buffet upgrade. This chapter is about knowing the difference, and getting out of the wrong kind, fast.

"If you are paying instalments on things that lose value, you are renting your own lifestyle."

YOU'LL LEARN

Good debt vs bad debt — the Malaysian edition

YOU'LL CALCULATE

Your debt service ratio in two minutes

YOU'LL CHOOSE

Snowball or avalanche — your escape route

Good debt builds. *Bad debt bleeds.*

USUALLY WORTH IT	USUALLY A TRAP
Home financing — shelter plus a long-term asset	**Credit card balances** — paying the minimum on RM5,000 can take over a decade to clear
Education — PTPTN that genuinely raises your earning power (then repay it — it's an amanah)	**Personal loans for lifestyle** — weddings, gadgets, holidays that outlive the photos but not the instalments
Business financing — debt that buys assets which earn more than they cost	**Excessive car financing** — nine years of payments on an asset losing value daily

One number tells you if debt is squeezing you: your **debt service ratio (DSR)** — total monthly debt payments divided by net income. Keep it under **30–35%**. Banks may approve you far beyond that; banks also aren't the ones eating Maggi at month-end.

And whichever you choose — conventional loans or Islamic financing like Murabahah and Tawarruq — remember: financing is still financing. The structure changes the contract, not the instalment leaving your gaji. Borrow with purpose, and sparingly.

Two escape routes

❄ Snowball — for motivation

List debts smallest to largest. Attack the smallest first while paying minimums on the rest. Each cleared debt is a win that keeps you going. Best if you've struggled to stay consistent.

▲ Avalanche — for mathematics

Attack the highest-rate debt first (almost always the credit card). Saves the most money overall. Best if you are disciplined and just want the cheapest way out.

THE IRON RULE OF CARDS

A credit card is a payment tool, not a borrowing tool. *If you cannot pay it in full this month, you could not afford it last month.* Points and cashback never outrun finance charges.

07

CHAPTER SEVEN

Protect what *you build.*

You can save brilliantly and invest wisely — and one hospital bill can undo a decade of discipline. Protection is the unglamorous chapter everyone skips, and the one your family will thank you for most. This is not pessimism. It is preparation: tying your camel first, as the old wisdom goes.

“Protection is a thousand families agreeing: if calamity visits one of us, it meets all of us.”

YOU’LL LEARN

How insurance and takaful work — and how they differ

YOU’LL ORDER

Your protection priorities: what to get first, second, third

YOU’LL AVOID

Being over-insured on the wrong things, naked on the right ones

YOUR SAFETY NET, IN ORDER

First the seatbelt, then the airbags, *then the journey.*

PRIORITY	PROTECTION	WHY IT COMES IN THIS ORDER
1	**Emergency fund**	3–6 months of expenses. Your first responder for small shocks — no contract, no claim forms.
2	**Medical card (insurance or takaful)**	Private healthcare costs keep climbing. One ICU week can exceed a year's salary. This is non-negotiable, even for singles.
3	**Life insurance / family takaful**	Only if someone depends on your income. Rule of thumb: cover about 10× your annual income, so your family has a decade to find their feet.
4	**Critical illness rider**	Replaces income while you fight and recover — the medical card pays the hospital; this pays your household.

Prefer the takaful route? It differs from conventional insurance in structure: participants contribute to a shared pool (tabarru') under a contract of mutual assistance, the operator earns a transparent fee, and surpluses may be shared back. Either way, what matters most is that your family is covered.

10×
annual income — a sensible family coverage target when others rely on your gaji.

2 checks
Employer coverage isn't portable — it retires when you resign. And update your nomination after every nikah, birth or divorce.

SOFINA'S TIP

Buy protection for protection, and investments for growth. *Mixing the two in one product usually means doing both halfway.* Keep it simple enough to explain in one sentence.

CHAPTER EIGHT

Wealth with *barakah.*

08

A financial plan that ends at your own retirement is only half a plan. The full picture asks harder, more beautiful questions: Is my wealth clean? Does it flow to others? And when I return to Allah, will it reach the people I love — smoothly, fairly, without family conflict?

"Wealth is not diminished by charity — and families are not protected by silence. Write things down."

YOU'LL LEARN

Zakat as purification — and how simple it is to calculate

YOU'LL UNDERSTAND

Faraid, wasiat and hibah — and why nomination ≠ inheritance

YOU'LL START

The conversation most families postpone forever

CLEAN, FLOWING, PREPARED

The three duties of *lasting wealth.*

Zakat first. If your savings and investments have sat above the nisab for a full year (haul), 2.5% belongs to the asnaf — it was never yours. Far from shrinking your wealth, zakat purifies it; in Malaysia it is also tax-deductible. Pay it through your state zakat body, then add sedekah on top: given quietly, it is the most reliable "investment" you will ever make.

Estate planning, *demystified.*

Faraid

The default. Islamic law fixes how a Muslim's estate is shared among heirs. Fair — but without preparation, distribution can take years while assets sit frozen.

Wasiat

Your written will. As a Muslim you may direct up to one-third of your estate — to non-heirs, charity, or causes — and appoint a trusted executor (wasi) to manage everything.

Hibah

A gift made during your lifetime, taking effect outside faraid. Powerful for ensuring a specific person — a spouse, a special-needs child — is provided for directly.

One detail that surprises almost everyone: for Muslims, your EPF and takaful nominee is generally an administrator (wasi), not an automatic owner — they receive the money to distribute according to faraid. Naming a nominee still matters enormously: it keeps funds from being frozen. But it is the beginning of estate planning, not the end.

- [ ] **Check your nominations** — EPF, takaful, Tabung Haji — especially after marriage, children or divorce.
- [ ] **Write a wasiat** with a reputable provider — it costs less than a smartphone and saves your family years.
- [ ] **Talk to your family.** Tell them what exists and where. Grief is heavy enough without a treasure hunt.

SOFINA'S TIP

Do the haji math early, too. Register with Tabung Haji now — *the queue is long, but so is a life of intention.* Planning for ibadah is financial planning at its most meaningful.

Knowledge becomes wealth only when *practised.*

Eight chapters is a lot of ideas. Here they are again — as four weeks of small, concrete moves. None takes more than an evening. Tick them off as you go; by day 30 you will have done more than most people do in a decade of "planning to plan."

Week 1 — *Know your numbers*

- [ ] **List everything you own and owe.** Savings, EPF, ASB, gold, debts. One page. This is your starting line — no judgment, just truth.
- [ ] **Track every ringgit for 7 days.** Phone notes will do. You cannot fix leaks you cannot see.
- [ ] **Calculate your DSR.** Monthly debt payments ÷ net income. Above 35%? Debt becomes your first priority.
- [ ] **Log in to KWSP i-Akaun.** Compare your balance against the basic savings guide for your age.

Week 2 — *Plug the leaks*

- [ ] **Cancel two subscriptions** you haven't used in 30 days. Redirect the money to Future You.
- [ ] **Set your 50·30·20 split.** Adjust the ratios to your reality — the order of priority is what matters.
- [ ] **Automate it.** Standing instruction the day after gaji: one transfer to savings, one to investment. Decide once, benefit monthly.
- [ ] **Write your top 3 goals** — each with a number and a date. Put them where you'll see them daily.

MOMENTUM RULE

If a step feels too big, shrink it until it feels almost silly — *RM50 a month is infinitely more than RM0.* You can raise the amount later; you cannot raise a habit you never started.

Week 3 — *Build your defences*

- [ ] **Open a dedicated emergency fund account.** Separate from daily spending — out of sight, out of Shopee.
- [ ] **Seed it** with whatever you can today, even RM100. Target: 3–6 months of expenses, built monthly.
- [ ] **Get a medical card quote** from two insurers or takaful operators. Compare annual limits and panel hospitals near you.
- [ ] **Check every nomination** — EPF, insurance, takaful, Tabung Haji. Five minutes that saves your family months.

Week 4 — *Start growing*

- [ ] **Choose one investment** from Chapter 5 that matches your nearest long-term goal. One is enough to start.
- [ ] **Verify before you invest.** Thirty seconds on the Securities Commission's licensed list — make it a lifelong reflex.
- [ ] **Set the monthly auto-debit.** Same date every month. Boring, automatic, unstoppable.
- [ ] **Book a conversation with a licensed financial planner** — bring your Week 1 numbers and your three goals.

16
small actions in 30 days

1
evening per week is all it takes

0
finance degrees required

DAY 31

Repeat nothing. Maintain everything. *The plan now runs itself* — your only job is to protect the standing instructions from your own moods, raya sales, and well-meaning group chats.

KEEP THIS PAGE

Ten rules for *the road.*

Tear this page out (digitally speaking). When money decisions get noisy, come back here.

01 **Pay yourself first.** Future You is a bill, due on gaji day.

02 **Spend less than you earn** — not sometimes, structurally.

03 **The emergency fund comes before every investment.** Seatbelt first.

04 **Time beats timing.** Start small, start now, never interrupt compounding unnecessarily.

05 **Never invest in what you can't explain** to your mother over dinner.

06 **Guaranteed high returns are guaranteed losses.** Walk away — quickly.

07 **If you can't pay the card in full, you can't afford the purchase.**

08 **Protect before you grow.** A medical card outranks a portfolio.

09 **Align your money with your values.** A plan you believe in is a plan you keep.

10 **Write things down** — goals, budgets, wasiat. Families are protected by paper, not intentions.

ABOUT THE AUTHOR

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Sofina is a licensed financial planner and member of the Malaysian Financial Planning Council (MFPC). She helps Malaysian families plan their money with clarity and confidence — from first gaji to legacy — across both conventional and Shariah-compliant planning, so your plan fits your life and your values.

She believes financial planning should feel less like a lecture and more like a conversation over teh tarik: honest, practical, and always on your side of the table.

Ready for a plan that fits your life and your values? Let's talk — visit the website to book a session.

WORK WITH SOFINA

One-to-one financial planning, goal mapping and portfolio reviews

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DISCLAIMER

This book is general education, not personalised financial advice. Figures are illustrations; please verify current rates and rulings before acting.

"The best time to plant a tree was twenty years ago.
The second-best time is today."

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